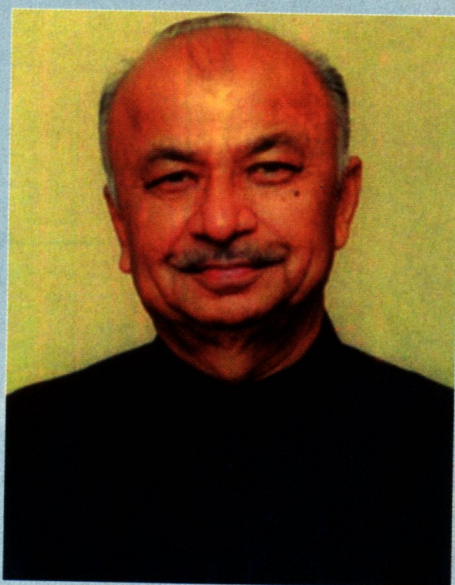


A POWERful Vision

Resurgent India entered into the 11th Plan much more confident to achieve higher growth rates in a sustainable manner and much more determined to hastened the trickle down effect to ensure that 'Inclusive Growth' brings about qualitative transformation among the poorest of the poor. The electricity is considered to be an important and effective tool to make this transformation possible. Electrifying all villages by 2009 and to provide access to electricity to every household of the country by 2012 may look a daunting task but the Ministry of Power is certain to achieve it within the timeframe through strategic planning and implementation of accelerated capacity addition. An in-depth account...



Shri Sushilkumar Shinde
Hon'ble Union
Minister of Power

According to *The McKinsey Quarterly* — India's energy appetite is expected to grow by 40 per cent in the next five years, straining the already existing infrastructure. Meeting the surging energy demands coupled with the pressure of sustaining growth rate of nine per cent, as envisaged in the Eleventh Plan, hinges upon the impressive growth rate in the energy segment in general and the power sector in particular. The onus is undoubtedly on Power Sector.

Electricity is a concurrent subject. The primary responsibility of structuring its availability and distribution is of the States. The Union Government was earlier facilitating this process through coordinated planning, regional electricity boards, inter-state transmission links and a few central generating stations. With the establishment of major central generating companies like NTPC, NHPC, NEEPCO and the Central Transmission Utility, Powergrid, as well as with the decline in the financial and operational health of State Electricity Boards or other utilities, the role of the Union Government has got enlarged. Seeing the pathetic state of household electrification, particularly in rural areas, the RGGVY was launched in 2005. This has been preceded by major intervention schemes like AG&SP to boost state sector generation and APDRP to address the severe malady of high Sub Transmission, Distribution and Commercial losses. Along with restructuring the opaque monolithic electricity boards, an independent tariff setting regime under the regulatory commissions has been put in place. Here's a comprehensive study of the various practical challenges that the Ministry has to face in meeting the nation's energy requirements and also some problems that it has successfully overcome over the years —

■ SURGING ENERGY DEMAND

The Integrated Energy Policy highlights that per capita consumption of energy in India is one of the world's lowest. But considering the increasing population and growing energy demands, consumption is bound to increase. To deliver a sustained growth rate of eight to nine per cent by 2031-32 and to meet the life-